



1 - Trading Based on the NEWS

During the Covid-19 pandemic situation, it is dangerous to go out without a facemask. But do you want to know what is even more dangerous? It is trading based on NEWS!

Let's say a person holds a key position in a reputed company. He comes to know that his company is planning a good product and will eventually make good profits in the running quarter.

He is not allowed to buy the shares directly, due to terms & conditions with the company. What would you do if you were in his position? You may be an honest person and may not take any advantage of the above knowledge. But how many people will follow the same route?

The majority of the people will share the information secretly with their friends or relatives. Hence, they accumulate a good quantity of shares before the information comes in the news.

After the accumulation, what is the best time to sell their holding? It is immediately after the news. Because the public starts buying more, it helps